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SHINHAN Customs Service Inc.



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Echo Chamber*

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“
I hope and pray we all become not the people
whose brains are shrinking and rotting due to
accumulated anger but become dynamic people
who look at each other with compassion, share
diverse opinions, empathize, and grow.
”



'You can't create something new if you're trapped in a cage called 'We''.*

About 10 years ago, Professor Lee Eo-ryeong expressed his worries about our society. He said, "There are a lot of 'us alone' excluding others... This is why there are more conflicts and strife in our society."

The frontal lobe, which is located in the front of the brain, occupies the largest area (30-40%) of the cerebrum. It governs higher mental functions such as memory, thinking, reasoning, planning, movement, emotions, and problem solving. It coordinates information coming from other areas and is responsible for rational thinking and judgment, regulation of behavior and emotions, creativity, and empathy. Therefore, in order to lead a healthy social life, the frontal lobe must be healthy. When the frontal lobe atrophies, the ability to control emotions and motivation decreases, and impulsive behavior increases. A phenomenon of 'personality sharpening' in which the original personality stands out also occurs. People who get angry easily become angrier, people who are stubborn become more stubborn, and people who are gentle become softer.**

Ideal and Reality for this month is 'Realistic threats and countermeasures to Trump's tariffs', Analysis on Recent Customs Judicial Precedent covers 'A request for disposition that the amount at issue the claimant company paid the exporter as an annual fee when it imported the item at issue (CIGAR) is included in the dutiable value and tariff was imposed', and HS case solved by logic reports 'Item classification of LED mood lights', Global Customs Insight is 'Vietnam's

Liquidation System and Submission of Settlement Report’ and FTA and import/export practical business guide is ‘Information on Import and Export of Goods under Heading 3827’, Contents and Opinion of Customs Trade amendment Covers ‘Customs and trade revision contents and opinions – Monthly faithful declaration confirmation system’

An echo chamber is a room with walls made of special materials to prevent sound from escaping.

No matter what sound you make, the sound bounces back like an echo and comes back as the same sound. When people with similar values and thoughts gather together, the Echo chamber effect occurs, which is a phenomenon in which beliefs and convictions are amplified and strengthened as their ways of thinking circulate and help each other. There is no room for other opinions or information. Just as the sound in the room continues as an echo, only their own thoughts are heard repeatedly. Ultimately, confirmation bias results in a distorted perception that is far from reality.

The development of the Internet has dramatically changed the lives of people living in the 21st century. In a digitalized world, the boundaries between time and distance have collapsed. Events that occur hundreds of thousands of kilometers away are broadcasted in real time. News and information are constantly being delivered through individuals’ SNS. In existing traditional media, editors select among a lot of information and provide it to the public. However, [Information provided by non-traditional media is distributed unrestrictedly without official sanctions](#). It is edited, selected, and delivered according to individual tastes by a secret algorithm. You can avoid official guidelines as well as the biased tastes of some editors. Through the highly accessible Internet, things unfold before our eyes even before we think or choose.

Everything in the world [has both strengths and vulnerabilities](#) from the beginning. Access to political information through the Internet has [the positive aspects of being exposed to diverse perspectives and opinions](#). Nevertheless, [negative aspects that lead to channels supporting extreme ideologies](#) are very serious. They refuse to understand opinions that are contrary to their own. Rejection without any reasons or conditions comes first. The people are [divided into two extremes and only communicate with people with similar thoughts](#). Narrow-minded thinking is spreading and amplifying in the echo chamber. They put an edge on their thoughts by sharing

only their thoughts. They are treating people from the opposing camp as enemies that must be defeated...

Oxford University Press selected 'Brain rot' as the word of the year of 2024. According to them, the intellectual condition of the people is worsening due to excessive consumption of online content. It seems Internet content consumption is a serious problem not only in Korea but also in the UK.

If the frontal lobe, which accounts for 30-40% of the human brain, is damaged, social life could be impossible. This is because if the frontal lobe is damaged, we lack the ability to analyze, integrate, and organize the information we receive in our daily lives. This is also because the ability to make a plan in a profitable direction depending on the nature of the information, and execute it disappears. Only by practicing and failing can we build our ability to select information. Likewise, if the intellectual and emotional abilities of the 30-40% of the country's people are paralyzed, the country is in danger. A situation where one is defenselessly absorbing and being dragged through false, distorted, and biased information shouldn't happen. Likewise, if you wish for a democratic country, you should not regard people from other camps as your enemies. We must embrace each other. We must be tolerant of each other.

We all need to get out of our echo chambers. We need to listen to different people's stories and be exposed to information from different perspectives. We must not be swayed by deftly manipulating algorithms. Professor Lee Eo-ryeong said this is 'Decision of determination'. He continued, "Evaluate with strict standards, but you must know how to draw a certain line. There are some people who really need to be forced out but rather than applying too high standards, we need to become a more tolerant society."****

I hope we escape from the cage we call ourselves. I hope and pray we all become not the people whose brains are shrinking and rotting due to accumulated anger but become dynamic people who look at each other with compassion, share diverse opinions, empathize, and grow. Thank you

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<<https://www.donga.com/news/Opinion/article/all/20130408/54268826/1>>





Ideal and Reality

Realistic threats and countermeasures to Trump's tariffs

I would like to think about the perspectives on the Trump administration's imposition of tariffs and companies' responses.

1. Will the foolishness of Trump's second term tariffs be as expected?

Every year, a person appears who is leading the global economic issue. If in recent years it has been Elon Musk, Sam Altman, and Jensen Huang, it seems certain that it will be Trump this year.

When it comes to economic policy, there really is not much new under the sun, and what is claimed to be new usually turns out to be a poorly disguised waste product of the last century.



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Trump's second term tariff imposition policy of 25% on Canada and Mexico, 10% on China, and Korea and the EU waiting for tariffs to be imposed is ultimately in the same direction as the Smoot-Hawley Tariff Act of 1930, but it remains to be seen whether the second Trump administration will implement it as desired. The Smoot-Hawley Act was a law implemented immediately after the Great Depression in 1929 to protect domestic industries. The goal was to increase the prices of foreign products and promote production in the United States by raising tariffs by an average of 40% on approximately 20,000 imported products. Ultimately, the Great Depression of the 1930s in the United States got worse as international trade contracted due to retaliatory tariffs, causing a sharp decline in world trade volume, and the decline in exports of American products hit companies in the United States and increased unemployment. The decline in international economic cooperation due to the protection trade policy of the United States was evaluated as one of the causes of World War II, and ultimately led to the signing of GATT in 1947, which called for the expansion of free trade. It is important to make clear from the outset that such a tariff policy today is not only unrealistic but also undesirable even if it were possible.

Tariffs have two functions: one is to secure finances, and the other is to protect domestic industries. They are fiscal tariffs and protective tariffs. In the case of a large country like the United States, the economic effect of the imposition of tariffs on both countries is that the volume of trade decreases depending on the imposition of tariffs. What is different from the imposition of tariffs in small countries is that part of the tariff is borne by the exporter in the exporting country. The export price will be lowered than initially. Consumer surplus decreases as in small countries, and exporters bear a portion of the tariff, so the U.S. transfers it to the tax authorities and redistributes income.

Of course, imposing tariffs can temporarily increase tariff revenue and increase domestic production, but as import prices rise, it leads to an increase in consumer prices and a decrease in GDP. The benefits of tariffs may help some industries such as steel, aluminum, and semiconductors that the United States is

disadvantaged in, but most people will suffer from rising import prices and rising production costs for automobiles and home appliances that import intermediate goods. In particular, the suffering experienced by low-income consumers will become more severe, ultimately causing social unrest, and enormous costs will be spent on security administration to prevent outbreak of social unrest.

Compared to the companies and their employees who benefit from comprehensive tariffs, the groups who suffer damage are not the same and are widespread. In the current diversified economic situation, the situation in which the U.S. economy is revived by increasing domestic production and securing finances through tariff revenues as President Trump and Secretary of Commerce Rutnick think, is not expected to develop for a long period of time.

People, especially Trump, often think that economic problems can be explained by immutable natural laws, like the laws of physics. But thinking like this is wrong. More importantly, we must not overlook that decisions and structures based on these ideas lead to economic instability and political risk.

Since Trump's tariffs are not unilateral and target all countries, companies, and citizens around the world as well as companies and citizens within the United States, we must recognize as quickly as possible that things will not go as expected.

Major media such as the Wall Street Journal, New York Times, and Bloomberg say that Trump's tariffs are completely unconvincing, to the point where they call it "the most foolish trade war ever." However, the problem is that there is no sign of him listening to this advice.

2. How to prevent the imposition of tariffs in Trump's second term

Trump's customs executive order against Canada claims that because gang members, smugglers, traffickers and illegal drugs of all kinds are flowing through Canada, putting communities at risk, as the U.S. president, he decided to impose additional tariffs on Canadian products using the authorities given in accordance with the Constitution and the International Economic Emergency Powers Act (50 U.S.C. 1701 et seq.) (IEEPA), the National Emergencies Act (50 U.S.C. 1601 et seq.) (NEA), section 604 of the Trade Act of 1974, as amended (19 U.S.C. 2483), and the powers granted under section 301 of title 3. The additional tariffs are scheduled to be imposed from February 4, 25.

Section 3 of the Executive Order states that if regular discussion of the situation at Canada's border is done and if it appears to the Secretary of Homeland Security that the Government of Canada has taken sufficient steps to mitigate this public and health crisis through cooperative enforcement actions, it is said that tariffs can be eliminated.

In the end, it is said that if the Canadian government arrests cartels, gang members, and smugglers, and blocks the inflow of illegal drugs such as fentanyl, it will be exempted from tariffs. Some of these issues will likely be resolved only if the Canadian government listens to Trump's demands. .

The U.S. president's executive orders can be checked by the U.S. Congress. Congress can use its legislation power to limit the president's power to impose tariffs (modifying or abolishing the president's authority for specific provisions). In this case, if the president vetoes, there is the burden of having to vote again with a 2/3 vote.

Congress can invalidate tariffs imposed by the president through a joint resolution, and there is a procedure for Congress to invalidate tariffs under the Emergency Economic Powers Act (IEEPA) or Section 232 of the Trade Expansion Act. However, in this case, the president's signature is required for the joint resolution to have legal effect, but in practice, it is difficult to obtain the president's consent.

In addition, because Congress has the power to deliberate on the budget, it has the power to refuse budget approval (Power of the Purse) for tariffs imposed by the president and can adjust the budget to prevent it from being used for specific policies.

Of course, companies or organizations can file a lawsuit (JUDICIAL REVIEW) in a U.S. court and claim that the imposition of tariffs violates the U.S. Constitution or laws. In fact, during Trump's first term, there were companies that filed lawsuits regarding the imposition of tariffs on steel and aluminum.

Congress can work with foreign governments to exert diplomatic pressure and does congressional oversight on the Department of Commerce and USTR to investigate the impact of the president's tariff policies on the economy through congressional hearings and to pressure to make changes on the administration's trade policies.

However, because the US president's veto and the executive branch's authority are strong, it has limitations that make actual control difficult.

3. The crisis facing companies right now is a decline in sales and profits.

If high tariffs are imposed on goods exported to the United States, American importers will immediately request that the import price be lowered to a level where it can be sold in the United States, and exporters will inevitably see a decrease in profits due to the price reduction.

In addition, in the current situation where the burden of raw material prices and labor costs is high due to war and inflation, if pressure is placed on lowering export prices, the country will have to take the risk of deficit exports or cutting off trade. If the GDP of exporting countries decreases as well as that of the United States, an increase in unemployment and an economic recession will occur simultaneously. If universal tariffs, rather than retaliatory tariffs targeting only specific countries, are imposed, exporting countries will have difficulty lowering prices until American consumers and manufacturers are at a level where they can tolerate price increases, and the United States, an importing country, although profits may increase due to the burden of tariffs on exporting countries for the time being, consumer welfare for the American people will also decrease due to retaliatory tariffs and a decrease in trade.

It is true that the overall economy has become uncertain due to Trump's unpredictable actions, but unlike other U.S. presidents' speaking style, Trump's remarks do not reveal the extent of his actual intention to implement them. "When faced with a certain situation, the pattern of threatening to take action, extracting concessions, and declaring victory is expected to continue throughout his term," says Howard Marks. The good news is that "There is a possibility that there will be progress in the U.S.-China relations within the next six months, and at that time, there is a possibility that Trump will announce that he has won and tensions will ease."

4. The company's response is that importers and exporters have no choice but to make small concessions.

Right now, companies must find ways to reduce costs until the typhoon of tariffs passes, which will last at least six months to two years at the most, but during that period, everyone will have no choice but to make concessions little by little. American importers and exporters must make some concessions to the Trump administration, but a catastrophe leading to a trade war must be prevented.

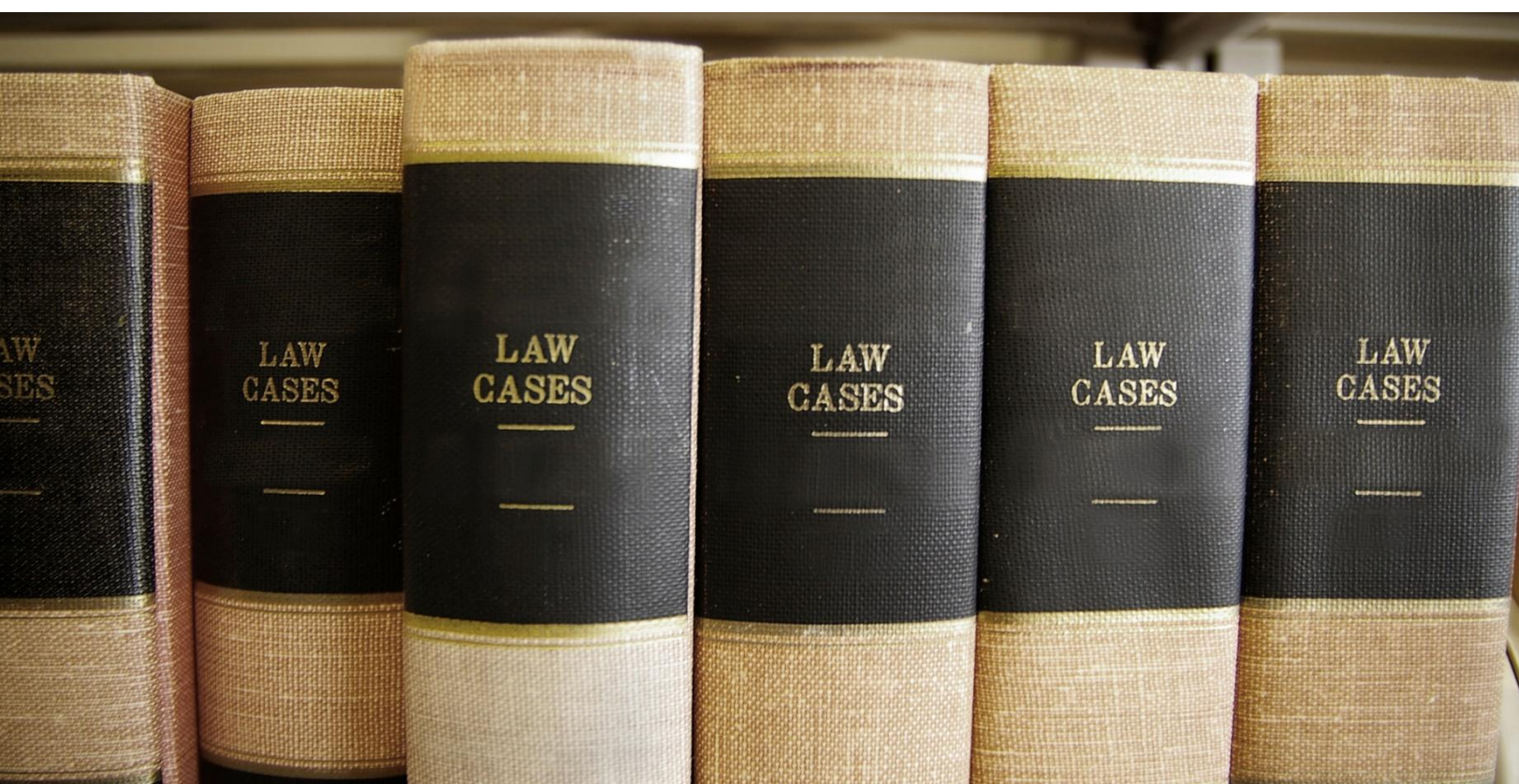
America cannot go alone. It has greater technological superiority than ever before, but lately it has become less and less willing to pay the price of becoming the world's policeman.

America First came from the idea that, having endured many sacrifices so far, all that is left is America's welfare is the only priority. As we have seen in the Ukraine-Russian War and the war between Israel and Hamas, the Americans were like a sleeping giant, unable to do anything. Occasionally, when there is no danger, they only show proactiveness, but they have shown even more proactiveness in refusing to cooperate with WHO and the climate agreement.

However, with many countries around the world consuming American culture and content, the United States must resume its role as the leader of the free world as the world's only superpower. To do so, each country must cooperate to solve the problems of illegal drugs, gangs, and cartels facing the United States while retrieving universal tariffs.

Each company must take necessary action while slowly observing whether Trump will use tariffs as a bargaining chip or whether he will really use tariffs for fiscal revenue and protection of domestic industry. Each country, including our country, is not without negotiation cards. Businesses and the government must join forces and pool their wisdom to respond calmly. Trump's tariffs will immediately have a greater impact on financial markets such as exchange rates, interest rates, stocks, and bonds. We must manage it well so that it does not fly away until the Trump typhoon passes.

We must not react too hastily and must use the cards that are in our favor to get through this crisis.



Analysis on Recent Customs Judicial Precedent

A request for disposition that the amount at issue the claimant company paid the exporter as an annual fee when it imported the item at issue (CIGAR) is included in the dutiable value and tariff was imposed

1. Disposal overview

A. The claimant corporation imported CIGAR (hereinafter referred to as "item at issue") from A located in Spain (hereinafter referred to as "exporter at issue") and reported the amount on the invoice (hereinafter referred to as "invoice for import declaration") containing a false price as the dutiable value of the goods, and the disposition office accepted it.

B. The disposition office conducted a customs investigation into the claimant corporation, and confirmed that the claimant corporation reported the customs value of the item at issue at a low price. The amount paid in the name of **Annual Fee** by the claimant corporation to the exporter at issue is OO dollars per year



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(total amount OO dollars for 2022 and 2023) (hereinafter referred to as "**The amount of money at issue**"). It is said that it is not subject to taxation because it is not paid as a condition of the transaction of the item at issue as compensation for exclusive sales rights, and only the difference in low price declaration (hereinafter referred to as "difference at issue") excluding the amount of money at issue is the taxable price of the item at issue. A revised report was filed by adding the difference in low declaration to the taxable price of the item at issue. C. After accusing the claimant company of violating the Customs Act, the disposition office considered the amount at issue as the actual price to be paid for the item at issue and added it to the dutiable price of the item at issue, giving the claimant company a total of OO won in customs duties, OO won in value-added tax, and OO won in additional tax. OO won was rectified and notified (hereinafter referred to as "issued disposition").

D. The claimant corporation objected and filed a request for judgment on December 14, 2023.

2. Customs issues and related laws

A. issue

Can **the amount of money at issue** of the item at issue be considered as **actual price to be paid**?

B. Related laws

(1) Customs Act

- **Article 30 [Principles for determining customs value]** ① The customs value of imported goods shall be the transaction price adjusted by adding the following amounts to the price actually paid or payable by the buyer for the goods sold for export to Korea. However, when adding the amounts in the following items, it must be based on objective and quantifiable data. If such data is not available, the dutiable value shall not be determined using the method prescribed in this Article, but shall be determined based on the method prescribed in Articles 31 through 35.

4. Amount calculated as prescribed by Presidential Decree as compensation for using patent rights, utility patent rights, design rights, trademark rights, and similar rights.

② In the text of the parts other than each subparagraph of Paragraph 1, "the price actually paid or payable by the buyer" refers to the total amount paid or payable by the buyer as a price for the relevant imported goods. This includes the amount the buyer sets off the price for the relevant imported goods and the seller's debt, the amount by which the buyer repays the seller's debt, and other indirect payments.

(2) Enforcement Decree of the Customs Act

- **Article 19 [Calculation of rights usage fees]** ② Pursuant to the provisions of Article 30, Paragraph 1 of the Act, the price for using patent rights, utility patent rights, design rights, trademark rights and similar rights that must be added to the price actually paid or payable by the purchaser for the relevant goods (Excluding the fee for using the right to reproduce the design or invention in other products in Korea by using the imported product in which specific designs or original idea are implemented, hereinafter referred to as "rights usage fee"). It is related to the goods and is the amount paid directly or indirectly by the buyer as a condition of transaction for the goods.

⑤ In applying the provisions of paragraph 2, in any of the following cases, the rights usage fee is deemed to be paid as a condition of transaction for the relevant product.

1. When the buyer pays a rights usage fee to the seller to purchase imported goods

C. facts and judgment

(1) Facts

(A) The claimant corporation imported CIGAR from 9 exporters and reported its customs value at a low price, and the disposition office conducted a customs investigation on the claimant corporation and confirmed the claimant's suspicion of underreporting.

(B) The unit price of the item at issue on the invoice for advance remittance submitted by the claimant company to the foreign exchange bank is as follows: **The amount of money at issue** and the difference at issue are included, and the unit price of the item at issue on the invoice for unit price separation includes the difference at issue, and the difference at issue appears to be omitted in the unit price of the item at issue on the invoice for import declaration.

(c) The claimant corporation admitted the charges during the customs investigation and filed a revised report for CIGAR imported from exporters other than the item at issue by adding the difference between each import declaration amount and the amount actually remitted to each exporter to the customs value.

Regarding the item at issue, a revised return was filed by excluding the amount at issue and adding only the difference at issue to the taxable price of the item at issue on the grounds that the amount of money at issue was considered as the compensation for exclusive sales rights.

(D) In the dispute contract signed by the claimant corporation with the exporter at issue, it is stipulated that the claimant corporation has the exclusive right to sell the products of the exporter at issue in Korea, and that the seller provides all inquiries obtained in Korea to the claimant corporation. But the contract does not specify that **the amount of money at issue** will be paid in return or how to pay, how to set the amount, payment timing, and validity period.

(E) The issue email submitted by the claimant company was sent by the exporter at issue on September 24, 2022 to the claimant corporation. There is a statement stating that the claimant corporation will be registered as an exclusive agent in Korea on the website (OO) of the exporter at issue and the separate invoices for the price of the item at issue in OO dollars (Invoice 1) and **the amount of money at issue** for OO dollars (Invoice 2) will be issued.

(F) On June 8, 2023, the claimant corporation imported goods other than those at issue from the exporter at issue. According to the invoice for advance remittance submitted to the head of a foreign exchange bank at the time of advance remittance dated October 12, 2023, the unit price of non-contentious goods on the invoice for import declaration submitted to the disposition office at the time of import customs clearance appears to be the same as the unit price on the invoice for pre-remittance of contested goods of the same standard, and the price of non-contentious goods can be adjusted after the fact or received from the exporter at issue for 2023. It appears that there has been no refund or settlement of the amount equivalent to the duplicate payment.

(G) The exporter at issue sent the letter at issue on December 14, 2023. In the issue letter sent to the claimant, **the amount of money at issue** was paid in accordance with the contract at issue. The letter at issue shows the intention that the exporter at issue helps with marketing and registering the claimant company as an exclusive agent on the website of the exporter at issue, and even if the claimant company does not pay the amount at issue, the claimant company can non-exclusively sell the goods of the exporter at issue.

(2) Judgment

The claimant company claims that the money at issue was paid in exchange for exclusive sales rights, not the actual price paid for the item at issue.

① The content of the contract at issue does not contain any content stipulating payment of compensation for the exclusive sales right or obligations related to the use of the right, such as payment amount and validity period, etc.;

② In the contentious email, it is said that the exporter at issue has prepared two invoices that separate the product price and the annual fee, but unlike the content of the contentious email, the invoice for advance remittance of the imported product at issue includes an amount equivalent to the amount at issue in the unit price of the item at issue. One invoice was issued for the amount paid,

③ If, as claimed in the claim, **the amount of money at issue** is an annual fee paid annually as compensation for exclusive sales rights, the claimant corporation would have paid the annual fee on January 24, 2023. Since the Annual Fee for 2023 has already been paid to the exporter at issue, the unit price of non-contentious goods imported after that should exclude the equivalent amount of duplicate payment for 2023. However, the unit price on the invoice for non-contentious goods imported after that shall be the same as that of the non-contentious goods. Since it is the same as the unit price on the invoice for advance remittance, it appears that the amount was not excluded, and there is no indication that the claimant company received it back or settled it from the exporter at issue;

④ In light of the fact that no data has been confirmed to suggest that the money at issue was paid separately as compensation for exclusive sales rights, separate from the price of the item at issue.

It is judged that there is no error in the disposition at issue in which the disposal office considered **the amount of money at issue** as the actual price paid and imposed tariffs in addition to the dutiable value of the item at issue.

3. Decision points

In the contract between the claimant company and the exporter, there is no mention of payment of compensation for the exclusive sales right, and there is no data confirming that the amount at issue is separate from the price of the item at issue and was paid separately as compensation for the exclusive sales right. There is no error in the disposition to include the amount at issue in the actual price paid for the item at issue



HS case solved by logic **Item classification of LED mood lights**

1. Outline

As interest in getting a sound sleep increases, the distribution industry is introducing various items for good sleep, such as mood lights, diffusers, and blackout curtains. Among them, the classification of mood lights and lights to induce deep sleep which create a cozy and comfortable atmosphere to help getting a good sleep as well as having interior effects will be addressed.



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2. Item Description

- It is a rechargeable mood light with LED as the light source, and the body, figure, USB cable (Type C), and manual are retail packaged in a paper box.
- Specifications: (Size) 114×59×149mm, (Input) DC5V/2A, (Battery) 900mAh
- How it works: The figure and body have built-in magnets, so when the figure is inserted inside the body, the LED lights up.
- Purpose: Providing interior lighting effects through LED emission light

3. Reason for decision

- General Rule No. 3 (b) of the Tariff Schedule stipulates that, 'Items that are put together as a set for retail sale and that cannot be classified under item (a) shall be classified, as much as possible, as items made up of materials or components that give essential characteristics to these items.'

- Heading 9405 of the Tariff Schedule classifies 'Lighting equipment [including searchlights, spotlights and parts thereof, limited to those not otherwise classified], lighting signs, lighting name-plates and similar articles (limited to those with fixed light sources) and parts thereof (limited to those not otherwise classified).'

- In the group (I) Lighting equipment (limited to those not classified in other headings)' of the Explanatory Note to the same issue, it is stated that 'Lighting equipment of this group can be made of all materials (except those materials listed in Note 1 to Chapter 71), and any light source [e.g. candle, oil, petroleum, paraffin (or kerosene), gas, acetylene, electricity, etc.] can be used.'

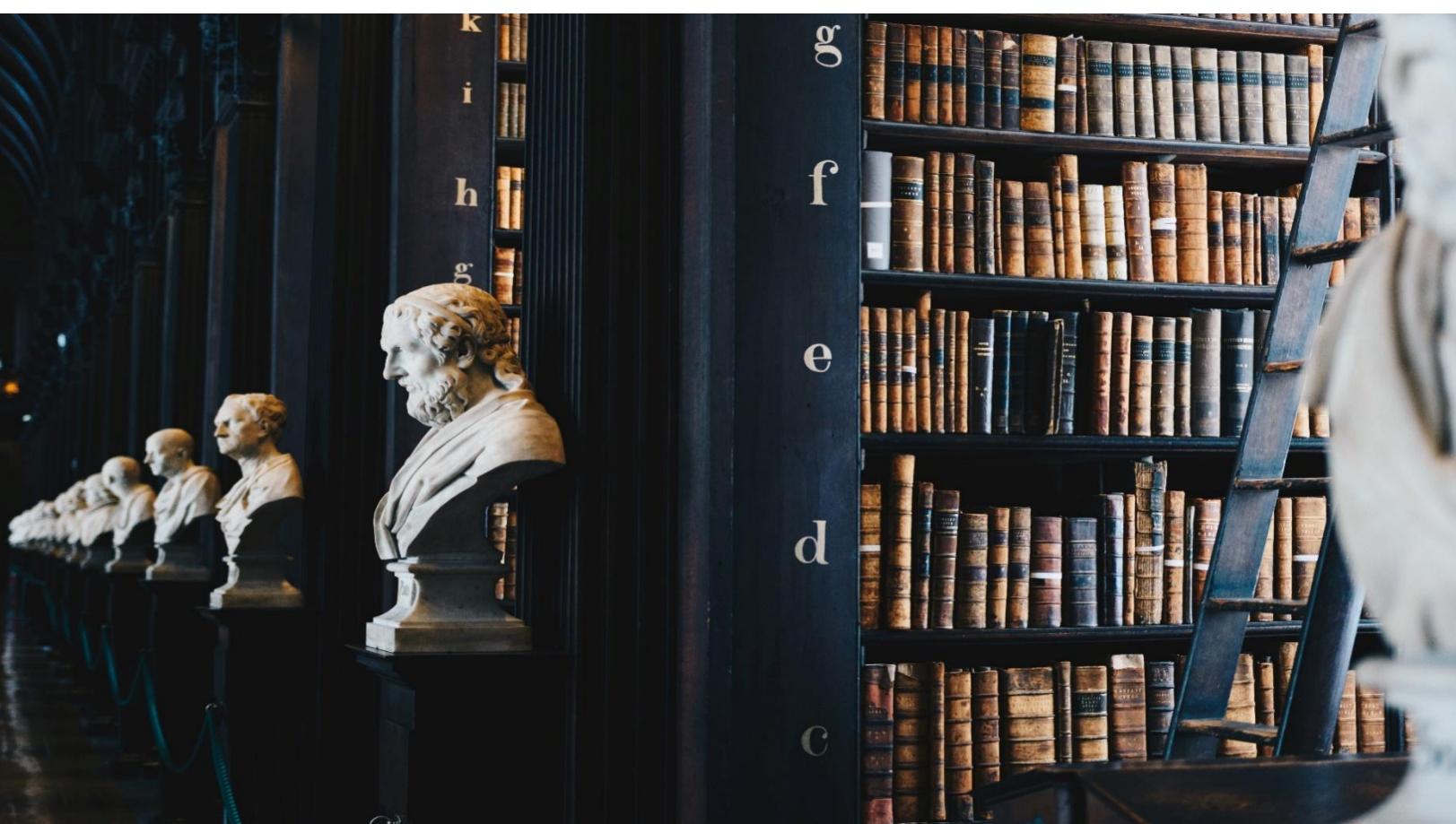
- '(1) Lighting equipment normally used for indoor lighting [e.g., hanging lamps; dish lamp; ceiling lamp; chandelier; wall lamp; standard lamp; table lamp; bed lamp; desk lamp; night lamp; waterproof lamp]' are some examples.

- Since this product is a mood light that uses LED as a light source and is usually used for indoor lighting such as tables, beds, and desks, it is regarded as

'electrical lighting for table, desk, bed, and floor lamp designed exclusively for LED light sources'. In accordance with GIRs 1, 3 and 6, it is classified in subheading 9405.21-0000.

4. Comments on Decision

In this case, this product consists of a retail set with a figure and a lighting fixture, and is classified as a lighting fixture because it is considered to have essential characteristics of a lighting fixture. In the case of LED lighting fixtures, LED lighting systems, etc., they are subject to confirmation by the Head of the customs office in accordance with the Electrical Appliances and Household Products Safety Management Act and the Radio Radio Act, and must meet the requirements upon import. Please keep this in mind when proceeding with import customs clearance.



Global Customs Insight

Vietnam's Liquidation System and Submission of Settlement Report

Companies engaged in production and export activities in Vietnam typically spend a busy time submitting accounting financial reports and customs settlement reports at the beginning of each year. In relation to this, prior to the submission period for Vietnam's liquidation report (the end of March), we would like to provide information regarding Vietnam's liquidation system and submission of settlement reports.

1. Vietnam's Liquidation System?

"Liquidation system" is not an official expression in the law. However, as a system operated in China and Vietnam for the purpose of attracting overseas companies and encouraging exports, customs duties and value-added taxes that are normally levied upon importing goods are used for the manufacture and



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production of goods to be exported from the relevant country (Vietnam). It refers to a series of systems operated by importing goods with deferred payment as a condition, using them for manufacturing/production/processing, etc., and then reporting them to customs to confirm the details (post-settlement).

The expression "handbook" is an expression in China that refers to "the ledger (receipt and disbursement) that manages the incoming and outgoing of bonded raw materials," and is used by many people as an abbreviation to refer to the deferral of payment of bonded raw materials - settlement system.

Vietnamese customs-related laws stipulate that a "Settlement Report, Báo cáo quyết toán" must be prepared and submitted in the form specified in the appendix of the relevant laws regarding the import/exit, use status, inventory status, etc. of imported raw materials, consumables and export products. (Basic law: 38_2015_TT-BTC / 39_2018_TT-BTC)

2. Types of Vietnam's import tax (duties, value-added tax, etc.) payment deferral system

Vietnam's "Raw Material Import Tax Payment Deferral – Settlement System" mentioned above is specifically divided into three types as follows.

(1) Export Processing Enterprise (EPE)	Exporting Processing Enterprises; Export processing enterprise According to the definition in relevant laws, it refers to a company established and operated in an export processing zone or specialized in producing export goods in an industrial complex or economic zone. A similar concept under Korean customs laws, it corresponds to "bonded factory."
(2) Processing company (GC)	Processing Company ; Machining Enterprise A company that enters into a toll processing contract with a foreign company, imports raw and subsidiary materials, and exports them after processing/manufacturing.
(3) Export manufacturing company (SXXK)	Export manufacturing enterprise ; Production and Export Enterprise A company that imports raw and subsidiary materials, manufactures them, and exports them after production without a processing contract.

3. Preparation and submission of Vietnam's liquidation report

The liquidation report needs to be reported to the local customs bureau (Chi Cục Hải Quan) where the company, organization or individual (including EPE) that performed processing/manufacturing or export of products first reported the production facility within 90 days after the end of the fiscal year. Normally, the liquidation report is submitted in electronic form to the Vietnam Customs Electronic Customs Clearance Management System (VNACCS / VCIS) through a computer program (E-CUS, etc.) used for import and export customs clearance. In this case, there is no need to submit separate paper documents. However, in the case of Vietnam, customs requests are different for each region, so confirmation with customs is required in advance.

- Composition of Liquidation Report

Basically, the three documents below must be submitted for the liquidation report. In some cases, additional documents (code linkage table, etc.) must be submitted together.

1) Raw Material Receipt and Disbursement, Mẫu số 15/BCQT-NVL/GSQL

number	raw materials, materials code	raw material, Material name	unit	base inventory	current term inbound	Amount of raw materials and materials imported and exported during the period				raw materials, materials ending inventory	note
						re-export	Change of purpose of use (domestic exhaustion, disposal)	Release for production	other outbound		
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)=(5)+(6) - (7) - (8) - (9) - (10)	(12)

2) Product Receipt/Disbursement Mẫu số 15a/BCQT-SP/GSQL

Number	Export Code	Export product name	Unit	Base Inventory	Current term Inbound	Quantity of Products Exported During the Term			Ending Inventory	Note
						Change of purpose of use, Quantity of converted products consumed domestically	Export product volume	Other Outbound		
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10) = (5) + (6) - (7) - (8) - (9)	(11)

3) Actual BOM, Mẫu số 16/Đ MTT/GSQL

number	import/export product code	import and export products Product name	unit	raw materials, materials				note
				material code	Product name	unit	Amount of raw materials and materials actually used (quantity required) when producing one unit of export product	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
1	SP A	Shirt	Female	WE	Fabric 100% of cotton		1,2	
				K	Zipper	female	1	X
				P	Chalk	pellets		KXDĐ M

- Precautions when writing and submitting liquidation reports

In relation to writing a liquidation report, it is necessary to pay attention to the following points.

- If the internal code used by the company is different from the export/import CD code (E-CUS CODE), a linkage table to confirm and explain this must be prepared and submitted together.
- The liquidation report must be consistent with the accounting ledger (Acc. Book 152, 155, etc.) & ERP data, and should not be prepared considering only export/import details (E-CUS data).
- If there is anything that needs to be corrected after submitting the liquidation report, corrections can be submitted without administrative penalty up to 60 days from the submission date.
- For semi-finished products, they must be converted to raw materials based on the required quantity on the BOM that can be explained and reflected in the quantity of the raw material receipt/disbursement. Semi-finished products that have been exported or whose use has been changed must be considered as products and the corresponding quantity must be reflected in the product receipt/disbursement.

So far, we have looked at the Vietnam export and processing conditional import tax deferral – settlement system and the “settlement report (liquidation report)” related to that system. In the case of Vietnam, unlike China, only registration of the export/import reporting code (ECUS Code) is required during the actual import and export process of duty-free materials, and registration of BOM for each export shipment or verification of adequacy of required quantity is not required for each import/export. As a result, individual import and export declarations can be made relatively freely, but if not managed properly, there are frequent cases of trouble due to failure to properly respond when preparing a liquidation report once a year or customs inspection every 3 to 5 years. Therefore, we recommend that you utilize the system, keeping in mind that you must always manage the receipt/disbursement details and BOM information related to duty-free imported materials and products produced using them.

In addition, our company (located in Hanoi, Vietnam) not only provides services to help companies operating in Vietnam write reports or prepare them on their behalf, but also provides management of data related to liquidation reports through computer management (Liquidation management system establishment, operation service). If you have any questions or need assistance regarding the report, please feel free to contact us at any time. thank you



FTA and import/export practical business guide
**Information on Import and Export of
Goods under Heading 3827**

With the HS revision in 2022, a new heading, Heading No. 3827, is related to substances that destroy the ozone layer. In particular, HFC is a refrigerant used as a substitute for CFC or HCFC. It is a material that has been decided to reduce its use although the side effects of ozone layer destruction have been reduced. Below, we will provide guidance on how to report and what documents are required if you are exporting or importing substances that destroy the ozone layer or similar mixtures, although this is not often encountered during customs clearance work.



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1. Specific controlled substances

Article 2 of the Enforcement Decree of the Act on Management of Specific Substances for Ozone Layer Protection, etc. stipulates as follows.

Article 2 (Types of Specified Substances, etc.) ① Types of Class 1 Specified Substances and ozone destruction index pursuant to Article 2, Paragraph 1 (a) of the Act on the Management of Specific Substances for Ozone Layer Protection, etc. (hereinafter referred to as the "Act") are as shown in Table 1. <Amended 2023. 4. 18.>

② The types of Class 2 specific substances and global warming potential index pursuant to Subparagraph 1 (b) of Article 2 of the Act are as listed in Appendix 2. <Newly established on April 18, 2023>

③ Specific substances under paragraphs 1 and 2 include those that fall under any of the following items. However, specific substances contained in products produced using specific substances and specific substances contained in mixtures are excluded. <Amended 2023. 4. 18.>

1. Isomers of a specific substance

2. Specific substances contained in the mixture

3. Specific substances contained in containers used for storage or transportation, etc.

For detailed substances, refer to Annex Table 1 and Annex 2 of the Enforcement Decree. If a mixture contains specific substances, approval is required for export for each item, and permission is required for import, and a fee is also collected.

2. In case of income

In the case of importing specific substances, an application for an import permit must be submitted to the Ministry of Trade, Industry and Energy, and in relation to the collection of import charges, an import confirmation certificate issued by the Korea Petrochemical Association must be submitted to the head of the customs office and the charges must be paid by the customs clearance date.

Applications for permission to import specific substances must be completed by obtaining the form from the relevant enforcement regulations, submitted via email to the person in charge of the Chemical Industry Team of the Ministry of Trade, Industry and Energy, and sent to the person in charge of the Korea Petrochemical Association.

3. In case of export

In the case of export of specific substances, approval must be obtained for each type of substance included in the exported item. There is no specific export report subject to confirmation by the head of the customs office, but in practice, an application for export approval of a specific substance, like an import, must be submitted to the person in charge of the Chemical Industry Team of the Ministry of Trade, Industry and Energy by email. Since the person in charge may change, you must inquire with the Chemical Industry Team of the Ministry of Trade, Industry and Energy to confirm the person in charge of receiving the email.

4. Form information

■ 오존층 보호 등을 위한 특정물질의 관리에 관한 법률 시행규칙 [별지 제10호서식] <개정 2023. 4. 18.>

특정물질 수입허가 신청서

* 색상이 어두운 칸은 신청인이 작성하지 않습니다.

접수번호	접수일	처리기간	40일			
신청인	상호(명칭)		사업자등록번호			
	성명(대표자)		생년월일			
	주소		전화번호			
수입기간	1종 특정물질 종류	품목분류번호 (HSK No.)	오존파괴지수	수입국가	수량 (단위: kg)	산정치 (오존파괴지수 × 수량)
합계						
수입기간	2종 특정물질 종류	품목분류번호 (HSK No.)	지구온난화지수	수입국가	수량 (단위: kg)	산정치 (지구온난화지수 × 수량)
합계						

「오존층 보호 등을 위한 특정물질의 관리에 관한 법률」 제11조제1항 및 같은 법 시행규칙 제2조 제1항에 따라 위와 같이 특정물질의 수입 허가를 신청합니다.

년 월 일

신청인

(서명 또는 인)

산업통상자원부장관 귀하



Contents and Opinion of Customs Trade Amendment

Customs and trade revision contents and opinions – Monthly faithful declaration confirmation system

1. Overview

What is the 'Monthly Faithful declaration Confirmation System'?

The 'Monthly Faithful Declaration Confirmation System' is a system that, when a company applies, submits a certificate of faithful declaration through a customs broker by the end of the following month and makes a final declaration, thereby delaying the customs payment deadline for up to 60 days.

It is an optional system rather than a mandatory system, and is a system that allows companies to participate voluntarily by comparing the financial cost savings resulting from the reporting fee and payment delay. It passed the plenary session of the National Assembly on December 10, 2024, and is scheduled to be implemented after 2028.



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2. Revised law (applicable to import declarations after January 1, 2028)

A. Establishment of monthly faithful tax declaration system (new establishment of Article 9 (4) and Article 38-5)

1) Business operators determined to be necessary for faithful tax payment and prescribed by Presidential Decree may file a faithful tax payment declaration by the end of the month following the month in which the tax payment declaration is made by attaching a confirmation letter prepared by a customs broker for goods declared for tax payment in the same month.

2) The head of the customs office allows a person who has applied for a faithful tax return to pay the tax amount for goods for which a tax return has been filed in the same month all at once by the due date for the faithful tax return.

3. Contents of revision

division	detail
subject of report	Applicants among companies with an average annual income of less than \$30 million for the previous two years * Excluding export/import safety management excellent companies (AEOs) and small, honest businesses
declared goods	Goods declared for import (tax payment) * Excluding goods subject to prior review of customs value determination (ACVA) and goods subject to tax review prior to acceptance of import declaration
Report details	Make a final declaration by attaching a faithful declaration confirmation and supporting materials. * Customs value, adequacy of item classification, accuracy of tax return, etc. need to be checked and prepared by customs brokers.
Report/payment deadline	The last day of the month following the month in which the income (tax payment) declaration falls.
Implementation period	'From Jan. 1st, 2028 Applies to subsequent import declarations
Nature	Taxpayer's selection system for customs and import declaration

4. Opinions on the revision

From the perspective of companies and customs brokers, it is expected that it will be very cumbersome and difficult to undergo monthly reviews and review the adequacy of monthly taxable values and the legality of foreign exchange transactions. Additionally, given that it is a selective system, it is expected that there will be problems in securing its effectiveness.

Therefore, as it is not a system that will be implemented immediately, it may be considered to gather opinions from related workers and the Korea Customs Society to promote revision to an annual mandatory bill.

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